CUSTER PUBLIC POWER DISTRICT
BROKEN BOW, NEBRASKA
STATEMENTS OF NET POSITION
DECEMBER 31, 2025 AND 2024

ASSETS AND DEFERRED OUTFLOWS OF RESOURCES

	2025	2024
PROPERTY AND EQUIPMENT, at cost		
Land	230,488	230,488
Construction in progress	287,841	961,661
Right-to-use assets - net of amortization	365,216	477,262
Electric plant	158,994,071	154,719,459
Less accumulated depreciation	(75,721,619)	(70,783,144)
Net property and equipment	84,155,997	85,605,726
OTHER ASSETS		
Certificates of deposit and CFC medium-term notes (noncurrent)	2,468,000	2,468,000
Restricted investments - debt reserve fund	2,303,000	2,303,000
Investments in associated organizations	1,650,796	1,635,100
Unamortized bond issue costs	309,783	345,595
Other unamortized charges	1,681	22,647
Total other assets	6,733,260	6,774,342
CURRENT ASSETS		
Cash and cash equivalents	329,717	1,030,838
Accounts receivable - less allowance for doubtful accounts of $289,861 in 2025 and $290,110 in 2024	1,237,516	656,452
Unbilled revenue	1,644,874	1,429,805
Interest receivable	101,058	103,811
Materials and supplies inventory	9,185,361	11,011,236
Prepaid expenses	90,719	359,178
Total current assets	12,589,245	14,591,320
TOTAL ASSETS	103,478,502	106,971,388
DEFERRED OUTFLOWS OF RESOURCES		
Deferred outflows for other postemployment benefits (OPEB)	425,925	461,549
Unamortized loss on debt refunding	159,866	192,817
Total deferred outflows of resources	585,791	654,366
TOTAL ASSETS AND DEFERRED OUTFLOWS OF RESOURCES	104,064,293	107,625,754

See accompanying notes to financial statements.

CUSTER PUBLIC POWER DISTRICT
BROKEN BOW, NEBRASKA
STATEMENTS OF NET POSITION
DECEMBER 31, 2025 AND 2024

LIABILITIES AND NET POSITION

	2025	2024
NET POSITION		
Net investment in capital assets	69,585,430	68,846,876
Restricted	2,303,000	2,303,000
Unrestricted	10,925,639	10,407,903
Total net position	82,814,069	81,557,779
OTHER NONCURRENT LIABILITIES		
Long-term debt		
Bonds payable (including unamortized premiums)	14,675,000	16,820,000
Leases	369,582	477,762
	15,044,582	17,297,762
Less current maturities of leases	(87,703)	(108,179)
Less current maturities of bonds	(1,645,000)	(2,145,000)
Total long-term debt	13,311,879	15,044,583
Other postretirement benefit obligation (OPEB) liability	1,485,985	1,396,154
Total other noncurrent liabilities	14,797,864	16,440,737
CURRENT LIABILITIES		
Accounts payable	1,560,487	1,213,200
Customer prepayments	153,699	192,179
Advances for construction	74,110	84,060
Expenses accrued	1,038,776	895,633
Taxes accrued	223,795	214,166
Consumer deposits	51,006	55,506
Notes payable	1,425,000	4,500,000
Current maturities of leases	87,703	108,179
Current maturities of long-term debt	1,645,000	2,145,000
Current maturities of OPEB liability	39,041	50,853
Total current liabilities	6,298,617	9,458,776
DEFERRED INFLOWS OF RESOURCES		
Deferred inflows for other postemployment benefits (OPEB)	153,743	168,462
TOTAL LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND NET POSITION	104,064,293	107,625,754

CUSTER PUBLIC POWER DISTRICT
BROKEN BOW, NEBRASKA
STATEMENTS OF REVENUES, EXPENSES, AND
CHANGES IN NET POSITION
YEARS ENDED DECEMBER 31, 2025 AND 2024

	2025	2024
OPERATING REVENUES		
Electric energy sales	31,165,789	30,270,196
Other	475,825	576,715
Total operating revenues	31,641,614	30,846,911
OPERATING EXPENSES		
Cost of power	15,131,940	16,259,198
Distribution	4,842,423	4,310,945
Consumer accounts	524,626	448,352
Consumer service and information	124,618	90,411
Consumer sales expense	202,607	183,133
Administrative and general	1,701,303	1,488,221
Maintenance expense - transmission	153,115	191,505
Maintenance expense - distribution	2,254,750	2,152,145
Depreciation	5,111,700	5,053,533
Taxes	145,698	141,079
Total operating expenses	30,192,780	30,318,522
OPERATING INCOME	1,448,834	528,389
NONOPERATING REVENUES (EXPENSES)		
Investment income	297,855	298,952
Merchandising and other income	454,971	424,686
Merchandising and other expense	(266,182)	(107,101)
Interest expense	(679,188)	(845,364)
Total nonoperating revenues (expenses)	(192,544)	(228,827)
INCREASE IN NET POSITION	1,256,290	299,562
NET POSITION, beginning of year	81,557,779	81,258,217
NET POSITION, end of year	82,814,069	81,557,779

See accompanying notes to financial statements.

CUSTER PUBLIC POWER DISTRICT
BROKEN BOW, NEBRASKA
STATEMENTS OF CASH FLOWS
DECEMBER 31, 2025 AND 2024

	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash received from customers	31,884,532	31,401,568
Cash paid for employees	(4,119,607)	(3,624,879)
Cash paid for power	(15,177,463)	(16,215,179)
Other cash expenses	(5,343,977)	(5,787,599)
Net cash provided by operating activities	7,243,485	5,773,911
CASH FLOWS FOR CAPITAL AND RELATED FINANCING ACTIVITIES		
Plant construction and acquisition (net)	(2,232,475)	(4,165,603)
Proceeds of bonds		6,515,959
Principal payments on bonds	(2,145,000)	(1,945,000)
Principal payments leases	(108,180)	(99,264)
Advances on short-term debt	3,225,000	7,125,000
Payments on short-term debt	(6,300,000)	(11,525,000)
Interest paid	(668,863)	(681,581)
Net cash used in capital and related financing activities	(8,229,518)	(4,775,489)
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of investment securities and certificates of deposit		(613,000)
Interest received	256,316	243,801
Patronage income received	28,596	23,761
Net cash provided by (used in) investing activities	284,912	(345,438)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(701,121)	652,984
CASH AND CASH EQUIVALENTS, beginning of year (including restricted cash)	1,030,838	377,854
CASH AND CASH EQUIVALENTS, end of year (including restricted cash)	329,717	1,030,838

CUSTER PUBLIC POWER DISTRICT
BROKEN BOW, NEBRASKA
STATEMENTS OF CASH FLOWS
DECEMBER 31, 2025 AND 2024

	2025	2024
Reconciliation of Operating Income to Net Cash Provided by Operating Activities		
Operating income	1,448,834	528,389
Adjustments to reconcile operating income to net cash provided by operating activities:		
Depreciation and amortization	5,111,700	5,053,533
Other revenues (net)	188,789	317,585
(Increase) decrease in accounts receivable	55,946	179,079
(Increase) decrease in unbilled revenue	(215,069)	97,584
(Increase) decrease in prepaid expenses	268,459	(267,516)
(Increase) decrease in unamortized charges	20,966	184,001
Increase (decrease) in accounts payable	96,706	(495,138)
Increase (decrease) in expenses accrued	201,581	153,331
Increase (decrease) in taxes accrued	9,629	(12,920)
Increase in OPEB liability and related inflows and outflows	98,924	56,025
Increase (decrease) in consumer deposits	(4,500)	53
Increase (decrease) in customer prepayments	(38,480)	(20,095)
Total adjustments	5,794,651	5,245,522
Net cash provided by operating activities	7,243,485	5,773,911
OTHER DISCLOSURES		
Total payments to employees	5,146,009	4,734,407
Payments to employees included in plant construction and cost of removal	(1,026,402)	(1,109,528)
Payments to employees for operating activities	4,119,607	3,624,879

CUSTER PUBLIC POWER DISTRICT
BROKEN BOW, NEBRASKA
STATEMENTS OF CASH FLOWS
DECEMBER 31, 2025 AND 2024

	2025	2024
OTHER DISCLOSURES (Continued)		
Payments for materials and other plant additions	(4,165,689)	(5,685,288)
Payments to employees in construction and removal of plant	(1,026,402)	(1,109,528)
Salvage from retirements	84,464	69,509
Contributions in aid of construction	1,041,647	1,148,642
Insurance proceeds	218,378	187,623
Cost of removal	(210,748)	(201,117)
(Increase) decrease in materials inventory	1,825,875	1,424,556
Cash payments for plant construction and acquisition, net	(2,232,475)	(4,165,603)

See accompanying notes to financial statements.